# GDI Property Group (ASX: GDI): deep dive at A$0.64

Prepared 10 November 2026 for a simulated portfolio. Judged on value at 31 August 2028 plus distributions received. All figures are Australian dollars. Bracketed codes such as [F1] point to the source list at the end. This is research, not personal financial advice.

## 1. The answer: wait

**Wait at A$0.64. I would buy at A$0.615 or below.** On my numbers GDI fails two of the three rules today: the expected gain to 31 August 2028 is about 8.8% after costs against the 12.9% needed, and the middling case (+17%) is less than 1.5 times the bad case's fall (-13%). The main reason is that A$0.64 is already what a 5.0 cent distribution supports, and that distribution is not paid for by cash the business keeps. GDI's own cash earnings were 3.2 cents a security in FY26 against 8.24 cents of funds from operations (FFO, the property industry's profit measure, which counts rent at face value through rent-free periods). Since the accounts were signed the RBA cash rate has gone to 4.85%, GDI's main interest rate hedge can be cancelled by the bank on 1 January 2028, and the two Westralia Square buildings sit in the books at a 6.50% capitalisation rate (cap rate: a building's yearly income divided by its value) when the two Perth CBD investment sales since mid-2024 were struck at 8.2% and 8.3%. Against that, the price implies about 10% on the buildings, which is harsher than those sales, so there is real value underneath, and a single holder bought about 28% of this year's traded volume to reach 10.1%. That is enough to keep GDI on the list and not enough to pay today's price.

### Checking the numbers in the brief

| Item | Brief | What the filings show |
|---|---|---|
| Securities on issue | About 539.2m | Correct. 539,196,501 quoted at 6 Nov 2026; a further 6,045 bought back on 14 Oct await cancellation, leaving 539,190,456 [F9, F10]. It was 539,822,485 at 30 June [F1]. |
| Market value | About A$345m | Correct: 539.19m x A$0.64 = A$345.1m. |
| Median daily turnover | About A$175,000 | Could not reproduce. Yahoo Finance daily data gives a median of about A$233,000 for 2026 to date and A$272,000 over the last 60 trading days [M9]. Either figure makes a A$2,250 position trivial. |
| Rockefeller | 5% to 10.1%, April to September | Correct (5.01% on 1 April, 10.11% on 14 September). His first notice also shows buying from 13 January, and about 20.4m securities (3.8%) held before that [H1]. |
| MD's sale | May 2026, on market | Correct: 500,000 sold on 29 May at an average A$0.602 (A$301,000), lodged 3 June [D1]. |
| Debt facility | One tranche due Feb 2028 | Correct. The headline A$426.5m includes a A$5.0m bank guarantee; the usable limit is A$421.5m with A$343.3m drawn [F1, F12]. |
| Hedge rate | Not given | The results slides label the swaps "BBSY@3.43%". The audited note says 3.72%. I use the note [F1 note 28, F2 p12]. |
| Everything else | | Price, assets, report dates, 5.0 cent history, 6.50% cap rates, the March 2027 Moranbah date and the Abacus cut all check out. |

## 2. The case for buying and the case against

| Argument for buying | Does the other side answer it? |
|---|---|
| The price implies about 9.7% to 10.4% on the buildings (section 5), against 6.8% in the books and 8.2% to 8.3% in actual sales. Even if every building were marked to 8.25%, net tangible assets (NTA, assets less debts per security) would be about A$0.91. | Only partly. At 8.25% the lenders' loan-to-value test would read 45% to 47% against a 50% limit, so the banks would be steering, not equity. And the discount has sat between 46% and 53% at four straight year ends. |
| Cash earnings are turning: -1.9 cents in FY24, 0.4 cents in FY25, 3.2 cents in FY26, and 4.1 cents annualised in the June 2026 half. The fit-out programme is largely done. | Mostly. Rent-free given is still rising (A$16.2m in FY26), interest is going up, the Autoleague fees end, and 27% of 197 St Georges Terrace expires in FY28. I get about 3.7 cents for FY28: better, still under 5.0. |
| Perth has no new towers before 2030 or 2031, vacancy is falling and face rents are rising. Knight Frank expects incentives to ease from 47% to about 40% by 2030. | Not yet in the numbers. Incentives rose in 2025 (45% to 47%) and net effective rents fell 0.4% under the same supply story [M1]. |

| Argument for buying | Does the other side answer it? |
|---|---|
| A 10.1% holder kept buying up to A$0.645, the new chair says his job is to close the gap, a 5% buy-back is open, A$100m of non-core assets are for sale and joint ventures over core buildings are on the table. | Thin so far. Rockefeller has stated no intention and lodged nothing since 14 September. The buy-back has bought 0.12% in two months and nothing since 14 October. The chair bought A$49,623 of stock. The MD sold. |
| There are fees the market may not be counting: about A$6.2m from the last Autoleague sales lands in FY27, and the goodwill test assumes an A$18m performance fee in FY28, worth 3.3 cents a security [F1 note 12, F13]. | Fair, but both are one-offs. The A$18m is an assumption inside an impairment test, not guidance, and depends on Broadmeadow being rezoned and sold. |

| Argument against buying | Does the other side answer it? |
|---|---|
| The 5.0 cent distribution is above cash earnings and has been paid partly out of capital: debt funded it in FY24 and FY25, Autoleague sale proceeds in FY26. | Partly. The gap is now A$8m to A$12m a year and GDI has A$78m undrawn plus the sale programme, so it can pay through FY28 if lenders are relaxed. It is also only 61% of FFO. |
| Rates: the cash rate is 4.85%, the cap steps up from 3.75% to 4.50% in January 2027 and the bank can cancel the A$175m swap in January 2028. | Yes on size. I estimate net interest rises from A$20.2m to about A$22.8m by FY29, which is 0.5 cents a security. Painful against 3 to 4 cents of cash earnings, not fatal. |
| Book values look full. Westralia Square at 6.50% matches Cushman & Wakefield's premium yield; A-grade is 7.85% and Knight Frank's prime average is 7.90% [M2, M5]. | Partly. Half of WS1 is let to the WA Government to FY34. And the price already assumes worse than any agent benchmark. The risk is the path (falling NTA, rising LVR), not the end value. |
| Mill Green has a wall of expiries: at 197 St Georges Terrace about 27% in FY28, 12% in FY29 and 20% in FY30; at 5 Mill Street 21%, 34% and 24%. | Partly. These are small suites, GDI has leased well for three years and tenants are asking for early extensions [F4]. But each renewal costs fresh incentives. |
| History: GDI paid 7.75 cents on about 5.3 cents of FFO until it cut 35% in December 2022, and the last 5% buy-back, renewed three times, bought 2.4% in four years. | No good answer. The board and chair have changed since; the habit of paying above earnings has not. |

## 3. Outcomes for 31 August 2028

Distributions I count: the December 2026 half (ex about 30 December 2026, paid late February 2027), the June 2027 half (paid end of August 2027), the December 2027 half (paid late February 2028) and the June 2028 half (ex late June 2028, paid about 31 August 2028; the last two August payments were on 29 August 2025 and 31 August 2026). That is four payments, 10.0 cents if nothing changes. A buyer after the 30 December ex date gets three.

| Case | Chance | What has to happen | Price | Distributions | Total | Against A$0.64 |
|---|---|---|---|---|---|---|
| Worse | 7% | Rates stay above 5%, WA slows, valuers move to 8.75% or more, the loan-to-value test nears 50% and GDI raises equity or sells under pressure. Distribution suspended in FY28. | A$0.35 | 6.25c | A$0.41 | -35.5% |
| Bad | 28% | December 2026 and June 2027 valuations take NTA to about A$0.97, the swap is cancelled, re-leasing at Mill Green is slow, and the board resets the distribution to about 3.5 cents with the August 2027 result. Stock trades near half of NTA. | A$0.47 | 8.5c | A$0.555 | -13.3% |
| Middling | 45% | The 5.0 cents is held with help from non-core sales. NTA drifts to about A$1.12. Cash earnings reach about 4 cents. The buy-back stays small. Rockefeller sits between 10% and 15%. The market still prices the distribution at 7.5% to 8%. | A$0.65 | 10.0c | A$0.75 | +17.2% |
| Good | 20% | One or more of: A$100m of sales near book and a real buy-back; a joint venture over a core building near book; the Broadmeadow fee; rate cuts in 2028; or a bid in the A$0.85 to A$0.95 range. Stock re-rates to about 0.7 times an NTA of A$1.20. Distributions are 10.0 cents plus a small special. | A$0.85 | 10.5c | A$0.955 | +49.2% |
| **Expected** | **100%** | **0.07 x 0.4125 + 0.28 x 0.555 + 0.45 x 0.75 + 0.20 x 0.955 = A$0.713** | | | **A$0.713** | **+11.4% before costs, +8.8% after 2.6%** |

| Rule | Test at A$0.64 | Result |
|---|---|---|
| 1. Bad case no more than 30% below price | Bad case is -13.3%. (The worse case is -35.5% but carries a 7% chance; I treat it as the tail, not the bad case.) | Pass |
| 2. Middling case at least 1.5 times the bad fall, and at least 15% | Needs 1.5 x 13.3% = 19.9%. Middling is +17.2%. | Fail, narrowly |
| 3. Expected gain after costs at least about 12.9% | +8.8% | Fail |
| As a special situation (rules 1 and 2 skipped) | If nothing happens the value is the middling case or lower, about A$0.75. I put the chance of a bid by August 2028 at about 10% and of a material asset realisation at about 20%; both are already in the good case. Expected gain is the same +8.8%. | Fail |

## 4. The price I would pay, and what would change my mind

Holding the four outcomes fixed, rule 3 is the binding one: A$0.713 / 1.155 = A$0.617. At A$0.615 the expected gain after costs is 13.3%, the bad case is -9.8% and the middling case +22.0%, so all three rules pass. After the December ex date the limit drops by the 2.5 cents no longer received, to about A$0.59. For reference, Rockefeller's 34.2m securities this year cost an average A$0.615 and the buy-back has paid A$0.615 to A$0.635.

| When | Event | What I would look for |
|---|---|---|
| 8 Dec 2026 | RBA decision | Another rise to 5.10% pushes the bad case up; a clear pause helps a little. |
| Mid to late Dec 2026 | December-half distribution declared; ex about 30 Dec | Anything other than 2.5 cents is a reject signal. |
| 1 Jan 2027 | Cap on A$100m steps from 3.75% to 4.50% | Already in my numbers. |
| Mid to late Feb 2027 | Half-year result and December valuations (WS1, WS2, car parks, Townsville) | Buy signal: NTA A$1.18 or better with the loan-to-value test under 38%. Reject signal: NTA under A$1.10, or the test above 42%. Also rent-free, fit-out spend, any change to hedges, news on Stanmore. |
| By 31 Mar 2027 | Moranbah take-or-pay ends unless Stanmore extends | Small either way (about 0.3 cents). |
| Feb to Jun 2027 | Extension of the February 2028 tranche | It becomes a current liability from February 2027. A higher margin or tighter covenants would be a reject signal. |
| Late Aug 2027 | FY27 result, FY28 distribution guidance, June valuations of Mill Green; buy-back ends 23 Aug 2027 | The likeliest date for a cut. A held 5.0 cents with cash cover above 80% would move me to buy at market. |
| 31 Dec 2027 and 1 Jan 2028 | 4.50% cap expires; bank's first right to cancel the swap | New hedging at market rates would lift interest by about A$2m a year. |
| Any day | Substantial holder notice from Rockefeller (next due at about 11.1%); non-core or core asset sale; sale of 256 St Georges Terrace | Buy at up to A$0.64 if he states an intention, seeks a board seat or passes 15%, or if GDI sells a core interest within 10% of book. A sale of the Fortescue building near A$200m would be the best new evidence on Perth yields. Reject if he sells. |

## 5. What the price assumes

| Step | A$m | Working |
|---|---|---|
| Market value | 345.1 | 539.19m x A$0.64 |
| Add GDI's own net debt | 333.6 | Syndicated facility 343.3 less cash 9.8 [F1 notes 6, 17] |
| Enterprise value | 678.7 | |
| Less other assets at book | -74.3 | Co-living JV 42.1; 43.68% of Townsville trust net assets 14.0; 47.19% of Autoleague trust net assets 14.7 (returned as cash in August); loans to funds 3.5 [F1 notes 8, 14, 34] |
| Implied value of wholly owned buildings and car parks | 604.3 | Against A$921.3m in the books: 66 cents in the dollar |
| Implied cap rate on face income | 9.7% | Property Division FFO 58.4 / 604.3 |
| Implied cap rate on the valuers' basis | 10.4% | Book average 6.8% / 0.656 |
| Implied yield on cash income | 7.0% | (58.4 less rent-free 16.2) / 604.3 |

| | Price 9 Nov | NTA | Price / NTA | Earnings yield | Distribution yield | Book cap rate | Implied cap rate (rough) |
|---|---|---|---|---|---|---|---|
| GDI | A$0.64 | A$1.21 | 0.53 | FFO 8.24c: 12.9%. Cash earnings 3.18c: 5.0% | 5.0c: 7.8% | 6.8% | 9.7% to 10.4% |
| Centuria Office REIT | A$0.895 | A$1.66 | 0.54 | FY27 FFO guide 11.3c: 12.6% | 9.0c (cut from 10.1c): 10.1% | 7.04% | About 9.7% if gearing is 40% (not checked) |
| Abacus Group | A$0.86 | A$1.52 pro forma | 0.57 | FY26 FFO 9.08c: 10.6% | 6.7c (cut from 8.5c): 7.8% | 6.70% | About 9.3% at 36% gearing |
| Growthpoint | A$2.05 | A$3.05 | 0.67 | FY27 FFO guide 22.6c to 23.5c: 11.2% | 18.4c: 9.0% | Not checked | Not calculated |
| Dexus | A$5.90 | A$8.92 | 0.66 | FY27 AFFO guide 37.5c to 39.5c: 6.5% | 37.0c: 6.3% | Not checked | Not calculated |

GDI is priced like Centuria Office REIT on FFO and on discount to NTA. The difference is underneath. Dexus reports AFFO, which is after incentives and upkeep; on that like-for-like measure Dexus yields 6.5% and GDI 5.0%. And GDI is the only one of the five paying well above its cash earnings. Sources: [P1 to P5], prices from [M9].

## 6. Cash earnings, not FFO

| A$m, GDI share | 1H24 | 2H24 | 1H25 | 2H25 | 1H26 | 2H26 | FY24 | FY25 | FY26 |
|---|---|---|---|---|---|---|---|---|---|
| FFO | 13.1 | 16.4 | 16.5 | 19.1 | 21.3 | 23.2 | 29.6 | 35.6 | 44.5 |
| Rent-free given | -2.3 | -6.3 | -6.4 | -6.6 | -8.3 | -7.9 | -8.6 | -13.0 | -16.2 |
| Fit-outs and floor subdivisions | -11.0 | -14.8 | -10.7 | -7.0 | -5.9 | -3.4 | -25.8 | -17.6 | -9.4 |
| Maintenance spending | -0.6 | -0.5 | -0.4 | -0.4 | -0.4 | -0.4 | -1.1 | -0.7 | -0.8 |
| Leasing fees | -2.0 | -2.1 | -0.6 | -1.5 | -0.6 | -0.3 | -4.1 | -2.1 | -0.9 |
| Cash earnings | -2.7 | -7.3 | -1.6 | 3.6 | 6.1 | 11.0 | -10.0 | 2.1 | 17.2 |
| **Cents per security** | **-0.5** | **-1.4** | **-0.3** | **0.7** | **1.1** | **2.0** | **-1.9** | **0.4** | **3.2** |

Where each line comes from: FFO from the directors' report reconciliation; rent-free is "Incentives paid (GDI Property Trust)" in the investment property note, which ties to "Non-cash incentives" in the cash flow reconciliation; fit-outs are "Property improvements" in the same note (not split between GDI and the consolidated trusts, so slightly overstated); maintenance is "Maintenance capital (GDI Property Trust)"; leasing fees are "Lease costs". Second halves are full year less first half [F1 notes 9 and 25, F4, F5, F6, F7, F8].

### What is in FFO that will not repeat or is not cash

| Item | FY26 | Comment |
|---|---|---|
| Funds management FFO | A$6.2m | A$2.0m of outside fees (A$0.59m one-off disposal fee on Bassendean, A$1.41m ongoing) plus A$4.2m of fees and distributions from the two consolidated trusts, mostly Autoleague, now sold. Ongoing level is about A$2.0m to A$2.5m. FY27 gets about A$6.2m of final Autoleague disposal and performance fees [F1 note 2 and 23, F13]. |
| Co-living JV tax | A$1.7m | FFO takes GDI's share of the JV's profit before tax. The JV pays the tax; FFO adds it back (A$1.5m in FY25, A$1.2m in FY24) [F1 s7.2]. |
| Co-living JV cash | A$5.2m of A$9.45m | Only 55% of the JV's FFO contribution reached GDI as cash; the rest stayed in the JV, which also borrowed to buy Moranbah. FY25: A$4.6m of A$6.5m [F1 note 14, cash flow]. |
| Loan set-up costs | A$1.2m | Amortised set-up fees are left out of FFO interest. Cash paid was A$0.84m in FY26 and A$1.1m in FY24 [F1 note 23]. |

### My estimate for FY27 and FY28

| A$m | FY26 | FY27 | FY28 | Reasoning |
|---|---|---|---|---|
| Property Division FFO | 58.4 | 62.0 | 62.5 | June-half run rate was A$58.8m. Add fixed rent reviews and the last WS2 and 197 St Georges Terrace leases. FY28 gains are offset by downtime on the 27% of 197 that expires. |
| Funds management | 6.2 | 8.4 | 2.2 | FY27 includes A$6.2m of final Autoleague fees. No Broadmeadow fee assumed. |
| Co-living JV | 9.5 | 10.5 | 10.5 | Full year of Moranbah and the Norseman rooms, less higher JV interest. Moranbah contract risk from April 2027. |
| Net interest | -20.2 | -19.9 | -21.5 | Section 9. |

| A$m | FY26 | FY27 | FY28 | Reasoning |
|---|---|---|---|---|
| Corporate costs | -10.1 | -10.4 | -10.7 | |
| FFO | 44.5 | 50.6 | 43.0 | 9.4 cents and 8.0 cents |
| Rent-free given | -16.2 | -15.0 | -13.5 | GDI does not say how its incentives are split between up-front rent-free and abatements spread over the lease. The steady climb from A$8.6m to A$16.2m as buildings filled suggests much of it runs for the life of the leases, so I let it fall slowly. New FY28 renewals add fresh incentives. |
| Fit-outs | -9.4 | -6.0 | -7.0 | Programme winding down; FY28 re-leasing at Mill Green. Excludes Mill Green Stage 1A, whose cost GDI has not disclosed. |
| Maintenance and leasing fees | -1.7 | -1.6 | -2.5 | |
| **Cash earnings** | **17.2** | **28.0** | **20.0** | **5.2 cents (4.0 cents without the one-off fees) and 3.7 cents** |

If the JV is counted at the cash it pays out instead of its pre-tax profit, take off about A$5m a year: 4.3 cents in FY27 and 2.8 cents in FY28. In August 2028 I expect the market to be looking at a yearly rate of about 8 cents of FFO and 3.5 to 4.0 cents of cash.

## 7. The distribution

| A$m | FY24 | FY25 | FY26 | Source |
|---|---|---|---|---|
| Distributions to GDI holders (5.0 cents) | 26.6 | 26.9 | 27.0 | Statement of changes in equity |
| GDI cash earnings (section 6) | -10.0 | 2.1 | 17.2 | |
| Share covered by cash earnings | None | 8% | 64% | |
| Consolidated operating cash flow, before any building spend | 22.5 | 23.5 | 21.6 | Cash flow statement. Includes outside investors' share of the two consolidated trusts. |
| Share covered on that looser measure | 85% | 87% | 80% | |
| Change in syndicated debt drawn | +42.2 | +17.0 | -21.0 | A$305.1m (June 2023), 347.3, 364.3, 343.3 |
| Sale proceeds, consolidated | 0 | 20.5 | 81.3 | Autoleague trust sales; GDI owns 47.19% |

So debt paid the gap in FY24 and FY25, and GDI's share of the Autoleague sales paid it in FY26 while also repaying A$21m. The Autoleague money is now finished: the last A$12.2m of capital and A$6.2m of fees arrived in August 2026 [F13].

**Chance of a cut before August 2028: about 30%.** Almost none of that is in FY27, where 5.0 cents was restated at the AGM on 5 November. The risk sits with the FY28 guidance in August 2027. Triggers, in order: valuations that push the loan-to-value test past about 42%; no progress on the A$100m of sales; tighter terms on the February 2028 tranche; the swap cancellation; or a board decision to put the cash into Mill Green and the buy-back. A cut to what cash covers would land at about 3.5 to 4.0 cents.

| Cut (announced) | Size | Day | 5 days | 6 months | A-REIT index over 6 months |
|---|---|---|---|---|---|
| GDI, 7.75c to 5.0c (9 Dec 2022) | -35% | +0.6% | -1.9% | -11.0% | -1.6% |
| Centuria Office, 14.1c to 12.0c (17 Aug 2023) | -15% | -3.5% | -8.8% | -10.9% | +17.9% |
| Growthpoint, 21.4c to 19.3c (17 Aug 2023) | -10% | -4.2% | -9.5% | -12.5% | +17.9% |
| Dexus, 51.6c to 48.0c (16 Aug 2023) | -7% | -3.1% | -3.9% | -2.5% | +14.1% |
| Centuria Office, 12.0c to 10.1c (15 Aug 2024) | -16% | -2.4% | -4.0% | -8.4% | +4.0% |
| Growthpoint, 19.3c to 18.2c (22 Aug 2024) | -6% | +6.2% | +7.9% | +4.8% | +5.3% |
| Dexus, 48.0c to 37.0c (20 Aug 2024) | -23% | -8.9% | -4.1% | +3.5% | +6.2% |
| Centuria Office, 10.1c to 9.0c (4 Aug 2026) | -11% | -2.2% | -1.7% | Too soon (-2.2% at 1 month) | |
| Abacus, 8.5c to 6.7c (25 Aug 2026) | -21% | +2.3% | -1.7% | Too soon (-4.5% at 1 month) | |

Price moves only, not adjusted for distributions going ex. The usual pattern is a few per cent on the day and roughly 10% behind the sector over six months, with less damage when the cut was expected. Sources: [P1 to P8], prices [M9].

## 8. The buildings and their values

| Building | Book A$m | Cap rate | Last outside valuation | Occupied | WALE, years | Main tenants and lease end | Expiring FY27 / 28 / 29 / 30 |
|---|---|---|---|---|---|---|---|
| WS1, 141 St Georges Tce | 401.0 | 6.50% | 31 Dec 2025 | 100% | 6.0 | WA Government: 16,347 sqm to FY34 and 1,833 sqm to FY33 (printed as "MOW") | 0 / 6 / 15 / 0 |
| WS2, 143 St Georges Tce | 105.4 | 6.50% | 31 Dec 2025 | 100% incl. a heads of agreement | 6.6 | Arup, 2,598 sqm to FY32 | 0 / 0 / 9 / 9 |
| 197 St Georges Tce | 234.0 | 7.00% | 30 Jun 2026 | 92% | 3.3 | Hatch, 2,381 sqm to FY32 | 3 / 27 / 12 / 20 |
| 5 Mill St | 54.0 | 7.25% | 30 Jun 2026 | 93% | 2.3 | Vix Technology, 737 sqm to FY28 | 13 / 21 / 34 / 24 |
| 1 Mill St | 36.5 | 8.00% | 30 Jun 2026 | Empty | | None; held for redevelopment | |
| 180 Hay St, East Perth | 18.7 | 8.00% | 30 Jun 2025 | Empty | | None | |
| Murray St car park | 48.8 | 6.13% | 31 Dec 2025 | | | Wilson, management agreement | |
| Wellington St car park | 24.2 | 6.25% | 31 Dec 2025 | | | Wilson, management agreement | |
| 235 Stanley St, Townsville (43.7% owned) | 40.0 | 8.75% | 31 Dec 2025 | 86% | 2.6 | Commonwealth agency, 4,644 sqm to FY28 | 20 / 39 / 0 / 0 |

WALE is the weighted average lease expiry, the average time left on leases. Expiry shares are my reading of GDI's bar charts, good to within two or three points; GDI does not print the numbers [F2 pp19 to 28].

### Are the cap rates believable?

| Evidence | Yield | Detail |
|---|---|---|
| GDI books | 6.50% to 7.25% | WS1 and WS2 6.50%, 197 St Georges Terrace 7.00%, 5 Mill Street 7.25%; average 6.8% |
| Cushman & Wakefield, Q3 2026 | 6.50% / 7.85% | Premium 6.50% (from 6.44%), A-grade 7.85% (from 7.69%), prime average 7.29% [M5, press report of the firm's MarketBeat] |
| Knight Frank, Q2 2026 | 7.90% | Prime, up 32 points after 21 flat months; secondary 8.95% [M2] |
| 181 St Georges Tce, Apr 2024 | 6.1% | A$26.5m, 3,590 sqm, WALE 2.5 years, Charter Hall to Yamamoto [M3] |
| 66 St Georges Tce, Oct 2024 | 8.2% | A$75.0m, A$6,664 per sqm, WALE 3.3 years, RF CorVal to Oceania Capital [M2] |
| 1 Nash St, 2026 | 8.3% | A$79.4m, A$6,422 per sqm, WALE 5.5 years, CorVal to Castlerock [M2] |
| No yield published | | 178 St Georges Tce (A$9.5m, hotel conversion, Jan 2026); 10 Telethon Ave (A$72.3m, bought by its occupier). Knight Frank counts no CBD investment sale at all in 2025 [M1, M2]. |
| Pending | | 256 St Georges Tce: 23,050 sqm, fully let to Fortescue, offered at about A$200m (about A$8,700 per sqm), now shown as under offer [M6, M7] |

Is there a sound reason for WS1 to sit at the tight end? Some. Half the building is let to the State to FY34, it is full, and the WALE is six years. But WS1 is an A-grade building carried at a premium-grade yield and at A$12,277 per square metre, against A$6,400 to A$6,700 in the two investment sales and about A$8,700 asked for the Fortescue building. I think 6.75% to 7.25% is defensible for WS1 and WS2, which is one or two valuation steps from here.

| Average cap rate on wholly owned assets | Value A$m | Change per security | NTA | Loan-to-value test at A$343m / A$360m of debt |
|---|---|---|---|---|
| 6.80% (today) | 921 | | A$1.21 | 37% / 39% |
| 7.05% | 889 | -6c | A$1.15 | 39% / 41% |
| 7.30% | 858 | -12c | A$1.09 | 40% / 42% |
| 7.90% (Knight Frank prime) | 793 | -24c | A$0.97 | 43% / 45% |
| 8.25% (the two sales) | 759 | -30c | A$0.91 | 45% / 47% |
| 8.75% | 716 | -38c | A$0.83 | 48% / 50% |
| 9.10% | 688 | -43c | A$0.78 | 50% / 52% |

This holds income constant. GDI's own note is a little harsher (25 points costs A$37.9m, or 7.0 cents, across all A$963m) and shows the offset: every A$25 per square metre of market rent adds A$35.4m, or 6.6 cents [F1 note 29]. For 30 June 2028 I use: about A$1.25 to A$1.30 if valuers hold cap rates and rents keep rising; about A$1.12 as the central case (cap rates out 50 points, rent growth recovering a third of it); about A$0.95 to A$1.00 if valuers go to the sales evidence. **For 31 December 2026** I expect WS1, WS2 and the car parks to move out by 12.5 to 37.5 points with some rent offset, and NTA of A$1.15 to A$1.20. Every benchmark has softened since those assets were last valued, and the cash rate is 1.25 points higher.

### The Perth office market

| Measure | Latest | Source |
|---|---|---|
| Vacancy | 15.4% all grades (July 2026): premium 10.2%, A-grade 16.3%, B-grade 19.2%. JLL: 15.4% in Q3, down from 16.0%. Knight Frank: prime now 13.7%, total forecast to reach about 8% by 2030. | [F2 p17, M4, M8] |
| New supply to 2029 | None. Next are 15 The Esplanade (Brookfield, about 50,000 sqm, 2031, under offer) and Lot 4 Elizabeth Quay (60,000 sqm, planning). CBRE: 10,400 sqm a year over five years against 33,000 in the last five. | [M1, M2, F3] |
| Face rents | Prime net A$749 per sqm, up 2.8% in a year. Knight Frank forecasts A$935 by 2030. | [M2, M8] |
| Incentives | Prime 47%, secondary 50%. They rose from 45% to 47% during 2025 and have been flat in 2026. Knight Frank expects about 40% by 2030. | [M1, M2, M8] |

An incentive is what a landlord gives to win a tenant: rent-free months, a fit-out or a lower rent for the term. At 47%, a A$749 face rent is A$397 in the hand. Incentives have stopped rising and should ease as vacancy falls, but slowly. For the FY28 expiries at 197 St Georges Terrace and 5 Mill Street I assume 40% to 45%, so each renewal still costs about two years of rent on a five-year lease. WS1 has little to re-let before FY29. GDI's workaround is to pay for the fit-out itself and give less rent-free, which moves the cost from one line of section 6 to another.

## 9. Debt, hedging and refinancing

| Hedge (note 28, 30 June 2026) | Amount | Rate | Start | End | Bank's rights |
|---|---|---|---|---|---|
| Interest rate cap with a floor | A$100m | GDI pays the bank bill rate, never more than 3.75% and never less than 2.65% | Replaced a 4.25% cap that ended 1 July 2025 | December 2026 | None stated |
| Forward-start cap | Not stated in the note; the results chart shows A$100m | Never more than 4.50% | January 2027 | 12 months, so December 2027 | None stated |
| Callable swap | A$175m | 3.72% fixed | Not stated; in place | January 2031 | The bank may cancel on 1 January 2028, 2029 or 2030. No right to extend is stated. |

A year earlier the note showed A$100m at 3.39% and A$75m at 3.49%, ending January 2030, cancellable from 1 January 2027 [F5]. So during FY26 GDI bought one more year of certainty and paid for it with a higher rate. In plain English: under the swap GDI pays 3.72% and the bank pays GDI the floating rate. The bank cancels when floating rates are above 3.72%, because that is when the swap is costing it money. That is also exactly when GDI needs it. If rates fall below 3.72% the bank keeps the swap and GDI pays above market until 2031. One-month bank bills are 4.81% and three-year swaps about 4.75% [M10, M11], so rates would have to fall by more than a full point by January 2028 for the swap to survive.

| | FY26 | FY27 | FY28 | FY29 |
|---|---|---|---|---|
| Share of A$343m debt hedged | 80% at June | 80% | 80% to December, then none: about 40% on average | None (51% only if rates fall below 3.72%) |
| Average base rate paid | About 3.7% | 4.07% | 4.54% | 4.90% |
| Net interest, A$m | 20.2 | 19.9 | 21.5 | 22.8 |
| Cents per security | 3.75 | 3.69 | 3.99 | 4.22 |

Assumptions: debt of A$345m, bank bills at 4.85% to 4.90%, and an all-in spread of 1.83 points that I backed out of FY26 (A$20.1m of interest on about A$361m at an average base rate near 3.7%). GDI does not publish its margin. Each extra point on unhedged debt is A$3.4m, or 0.64 cents. FY27 is flat only because debt is A$21m lower.

**Maturities.** Tranche A, A$210.75m, fully drawn, February 2029. Tranche B, A$210.75m with A$132.6m drawn, February 2028. The Townsville trust's A$10m loan was extended to November 2026 and is secured only on that trust [F1 note 17, F12]. **Covenants.** Loan to value (LVR, debt divided by the last independent valuation of the secured buildings) must stay under 50% and was 37.1%. Interest cover (earnings before interest divided by interest) must stay above 1.5 times and was 2.4 times. The table in section 8 shows the LVR at each cap rate: comfortable to 7.3%, uncomfortable at the sales evidence, breached near 9.1%. Interest cover would be about 2.1 times at my FY29 interest bill and only breaks if interest reaches about A$33m. **Refinancing.** GDI has extended this facility four times in three years, most recently in June 2026. I assume a similar margin; a quarter point either way is A$0.9m a year, and fees have run at A$0.8m to A$1.1m a time.

## 10. The Co-living JV and funds management

| Village | Rooms | Customers and contracts | FY26 site earnings (100%) |
|---|---|---|---|
| Norseman, WA | 425 | Pantoro Gold, take-or-pay (the customer pays whether or not rooms are used). Demand exceeds capacity; 140 rooms added. | A$6.4m |
| South Hedland, WA | 235 | Rio Tinto projects, Acciona, Ventia, Monadelphous and others; at capacity | A$10.3m |
| Newman, WA | 88 | BHP, Hancock, CPB, Ventia and others | A$3.2m |
| Moranbah, Qld | 239 | Stanmore Resources: take-or-pay on 144 rooms, paying for at least 75%, to 31 March 2027. Stanmore has a one-year option on six months' notice and may end or shrink the contract for compensation. | Not shown; bought for A$18.3m in October 2025 |

GDI has not said what replaces the Stanmore contract or whether the option was exercised; the notice date has passed and the AGM address was silent [F3, F14]. If Moranbah earns the JV's 20% target on its A$18.3m cost, that is about A$3.7m, or roughly 15% of the JV and 0.3 cents a security to GDI. So Queensland coal matters little; WA gold at Norseman and Pilbara iron ore and construction matter a lot. The JV's non-current liabilities rose from A$33.9m to A$57.5m in FY26 and its interest bill was A$1.85m; GDI's half, up to about A$29m, is not in GDI's gearing. GDI put in A$33.0m in FY23 and has had A$9.8m of distributions since (A$4.6m in FY25, A$5.2m in FY26) against A$18.9m of booked profit. Profits cannot be paid out without both partners' consent [F1 note 14].

**Funds management.** Three funds remain: 1 Adelaide Terrace Perth, the Broadmeadow site near Newcastle (GDI holds no units) and Townsville. Assets under management were A$260m at June including A$42m of Autoleague since sold. Ongoing outside fees were A$1.41m in FY26. The goodwill test for this division now rests on performance fees of A$6m in FY27 and A$18m in FY28 and a A$250m "Office JV Fund" paying 0.10% [F1 note 12].

## 11. Why the gap to NTA might close, or not

| 30 June | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 |
|---|---|---|---|---|---|---|---|---|---|---|
| Price, A$ | 1.025 | 1.29 | 1.385 | 1.115 | 1.12 | 0.91 | 0.65 | 0.56 | 0.645 | 0.60 |
| NTA, A$ | 1.119 | 1.184 | 1.255 | 1.30 | 1.25 | 1.27 | 1.25 | 1.19 | 1.20 | 1.21 |
| Price / NTA | 0.92 | 1.09 | 1.10 | 0.86 | 0.90 | 0.72 | 0.52 | 0.47 | 0.54 | 0.50 |
| Bought back in year, m | 1.1 | 1.1 | 0.0 | 1.8 | 1.0 | 7.1 | 3.3 | 0 | 0 | 0 |
| Distribution, cents | 7.75 | 7.75 | 7.75 | 7.75 | 7.75 | 7.75 | 5.0 | 5.0 | 5.0 | 5.0 |

Earlier buy-backs and sales did not close the gap. The premium in 2018 and 2019 came from the market. The March 2020 buy-back was "up to 5%", was renewed three times and bought 13.2m securities (2.4%) in four years, most of them above A$1.00, before being cancelled in March 2024. Sales of Sydney, Parramatta, Ashfield and Surfers Paradise assets were sold between 2017 and 2021, years in which GDI by its own account paid more than its AFFO [F7, F17 to F22].

| The board's plan | Where it stands |
|---|---|
| 5% buy-back (up to 26,991,124 securities, 7 Sept 2026 to 23 Aug 2027) | 632,029 bought for A$394,708, average A$0.6245, between A$0.615 and A$0.635. Last purchase 14 October. That is 2.3% of the programme [F9]. |

| The board's plan | Where it stands |
|---|---|
| A$100m of non-core sales | Nothing sold from GDI's own balance sheet yet. The AGM said A$100m "remaining" after about A$50m already released from Autoleague. GDI has not named the assets. The two car parks (A$73.0m), 180 Hay Street (A$18.7m) and the Townsville stake (about A$14m) add to A$106m; that is my inference. |
| Joint ventures over core buildings | "Subject to liquidity and pricing suitability". The A$250m fund in the goodwill test is the size of 197 St Georges Terrace (A$234m). |
| Mill Green | Master plan lodged. Stage 1A is the lobby, retail and podium at 197 St Georges Terrace; cost not disclosed. The 1 Mill Street tower needs outside funding and a partner [F3]. |

| Precedent | What happened | What made the difference |
|---|---|---|
| Elanor Commercial Property Fund, 2025 | Lederer family office, already at 27.5%, bid 70 cents cash: 1.4% above an NTA of A$0.69 that had already been written down. Board rejected; Lederer reached 43% [M12, M13]. | A holder with a blocking stake, its own money and a grievance. |
| Hotel Property Investments, 2024 | Charter Hall and Hostplus bought 14.8%, then bid A$3.65, a 10% discount to NTA [M14]. | A buyer who could get control below NTA once on the register. |
| Australian Unity Office Fund, 2019 to 2024 | Bids above NTA were blocked by holders in 2019. The fund later traded at a 44% discount and went to asset sales and wind-up after a failed merger [M15, M16]. | Holders forcing a wind-up; the cash came back at sale prices, not old book values. |

GDI has one of the features, a 10% holder, but with no stated aim. It lacks the others: Perth's core office market is too illiquid to sell at book (no CBD investment sale in 2025), and no holder has asked for a wind-up. Elanor's own target statement put the median premium to NTA in cash bids for listed property trusts at 18.5% [M12]; the two recent ones above were done at or under NTA.

## 12. Who owns it and what they might do

| Rockefeller notice | Buying dates | Securities | Cost | Average | Range | Holding after |
|---|---|---|---|---|---|---|
| 603, 1 Apr 2026 | 13 Jan to 1 Apr | 6,602,538 | A$3.96m | A$0.600 | 0.585 to 0.630 | 27,022,538 (5.01%) |
| 604, 13 May | 2 Apr to 13 May | 5,407,576 | A$3.22m | A$0.596 | 0.595 to 0.598 | 32,430,114 (6.01%) |
| 604, 17 Jun | 14 May to 17 Jun | 5,794,779 | A$3.51m | A$0.606 | 0.595 to 0.628 | 38,224,893 (7.08%) |
| 604, 14 Aug | 29 Jun to 14 Aug | 4,960,907 | A$3.11m | A$0.626 | 0.600 to 0.645 | 43,185,800 (8.00%) |
| 604, 25 Aug | 18 to 24 Aug | 5,927,496 | A$3.75m | A$0.632 | 0.625 to 0.635 | 49,113,296 (9.10%) |
| 604, 14 Sep | 9 and 14 Sep | 5,489,000 | A$3.46m | A$0.630 | 0.630 to 0.631 | 54,602,296 (10.11%) |
| **Total** | **13 Jan to 14 Sep** | **34,182,296** | **A$21.0m** | **A$0.615** | | |

All purchases were on market, through five family companies and trusts and family members, all with a Hobart address [H1 to H6]. Yahoo shows 122.4m GDI securities traded from 1 January to 9 November 2026, so his buying was about 28% of the year's volume and about 47% between March and mid-September. The match is rough because some of his parcels were crossings larger than the day's on-screen volume. The last two notices were single blocks: 3.0m on results day and 5.5m in September, days after Renaissance reported a lower holding. He has lodged nothing in the eight weeks since, so he has added less than 1%. The forms state no intention and do not have to. I found no record of him taking board seats, calling meetings or bidding at other ASX companies; he is known as a direct property owner in Tasmania who sold seven shopping centres for A$145m and the ANZ Centre in Hobart for A$50.3m to a Charter Hall fund [M17, M18]. That absence is not verified.

| Holder | Holding | Latest notice | Pattern |
|---|---|---|---|
| Paradice Investment Management | 45,415,479 (8.4%) | 22 Apr 2025 | Arrived at 39.7m in September 2024 as index funds were selling (Vanguard went from 10.2% to 9.2% that month); added 5.7m since. Long-only small-company manager, half owned by Charter Hall. Has not sold [H8, H9, M19]. |
| Renaissance Property Securities | 33,991,610 (6.30%) | 2 Sep 2026 | Since February 2024 bought 6.6m at A$0.593 and sold 11.9m at A$0.616. A value-style property fund that has been trimming into the bid [H7]. |
| Salt Funds Management and Pathfinder (NZ) | 32,539,417 (6.03%) | 2 Mar 2026 | Has crossed 5% up or down five times since mid-2023. A trader of the range [H10]. |

| Holder | Holding | Latest notice | Pattern |
|---|---|---|---|
| MA Financial | Below 5% | 30 Jan 2026 | Held 27.9m (5.16%) in October 2025 and sold down within four months [H11]. |

**The chair.** James Warburton ran APN Outdoor for ten months in 2018 and sold it to JCDecaux for about A$1.1bn to A$1.2bn. At Seven West Media (2019 to April 2024) he sold Pacific Magazines for A$40m and an Airtasker stake for A$45m, bought Prime for about A$132m and cut debt from A$565m to A$249m, while the share price fell to about 25 cents. Before that he ran Supercars [M20 to M23]. His record is one clean sale and a debt clean-up, not capital returns. He bought 76,923 GDI securities for A$49,623 on his first day [D2].

**The MD.** Stephen Burns sold 500,000 on 29 May 2026 "primarily to satisfy a personal tax obligation". He now holds 2,938,729 securities and 4,286,086 performance rights [D1, D3, D4]. Half of each long-term grant pays on total return against office peers (half at the median, all at the top quarter) and half on NTA plus distributions against an office fund index. The FY23 grant shows how that works: the peer half vested in full on a return of 5.4% a year, second of eight, while the price went from A$0.645 to A$0.60. Management can be paid in full with the stock at half of NTA.

**Could anyone bid?** Nobody may go past 20% without a bid or holder approval, except that a holder who has been at 19% or more for six months may add 3% every six months [M24, M25]. Rockefeller can buy another 53m securities, about A$34m, before that matters; at this year's pace that is a year. A full bid at A$0.85 means A$458m of equity and refinancing A$343m of debt, a stretch for one family. At A$0.85 the buildings would be bought on about 8.1% of face income and 5.9% of cash income, below the cost of debt at about 6.7%, so a bid makes more sense to a buyer after rates fall. A price that works for a bidder is about A$0.80 to A$0.90, which is 7.8% to 8.5% on the buildings; the board would argue for NTA. I put the chance of any bid by August 2028 at about 10%.

## 13. Anything else in the accounts

| Item | Why it matters |
|---|---|
| Goodwill of A$18.1m | Held on the strength of assumed performance fees (A$6m, then A$18m) discounted at 17.5%. It is outside NTA, so no hit to the A$1.21 if written off [F1 note 12]. |
| Valuers | Not named. "Rotational." WS1 and WS2 were valued in December only and carried at June on the directors' own check. The empty 180 Hay Street has not had an independent valuation since June 2025 [F1 note 9]. |
| Fees owed by GDI's own funds | A$2.4m of management fees unpaid by managed funds, A$1.9m of receivables more than six months old, no provision; plus A$3.5m lent to managed funds [F1 notes 7, 8, 28]. |
| Related parties | The trust lends A$20m to GDI's management company to hold the JV stake (internal, at A$1.8m of interest). A new A$1.0m "loan to related parties" appears without explanation. No dealings with directors [F1 notes 8, 27]. |
| Auditor | Hall Chadwick, a mid-tier firm, also paid A$125,000 for tax advice against A$212,000 for audit [F1 note 32]. |
| Guarantees and commitments | A$5m bank guarantee for the fund manager's licence. No capital commitments, no contingent liabilities, no legal matters disclosed [F1 notes 24, 35]. |
| Townsville trust | Value down to A$40.0m from a A$53.5m purchase price, 14% empty, about 39% of income expiring in FY28, and a A$10m loan that fell due in August and was extended three months [F1 notes 9, 36]. |
| Dilution | 12.5m performance rights outstanding, 2.3% of securities [F10]. |

## What I could not verify

The brief's A$175,000 median turnover. Whether the swap rate is 3.72% or 3.43%, and when it changed. GDI's loan margin (mine is derived). The split of incentives between up-front rent-free and abatements. The cost of Mill Green Stage 1A. Which assets make up the A$100m. Whether Stanmore extended at Moranbah. Rockefeller's intentions and the absence of activity elsewhere. Cap rates and gearing for Growthpoint, Dexus and Centuria Office, so their implied cap rates are rough or missing. Cushman & Wakefield's yields come from a press report of its MarketBeat, not the report itself. Colliers and CBRE figures appear only as quoted in GDI's slides. Daily prices and volumes are from Yahoo Finance, a secondary source. Six-month price moves for the August 2026 cuts are not yet available. Probabilities and scenario prices are my judgement.

# Sources


**GDI filings (ASX)**

[F1] Appendix 4E and Annual Financial Report, 30 June 2026 (24 Aug 2026)
[F2] Annual Results Presentation (24 Aug 2026)
[F3] Chairman's and Managing Director's AGM addresses (5 Nov 2026)
[F4] Appendix 4D and Half Yearly Financial Report, 31 Dec 2025
[F5] Appendix 4E and Annual Financial Report, 30 June 2025
[F6] Appendix 4D, 31 Dec 2024
[F7] Appendix 4E and Annual Financial Report, 30 June 2024
[F8] Half Yearly Report, 31 Dec 2023
[F9] Buy-back daily notification (15 Oct 2026)
[F10] Appendix 3G showing securities on issue (6 Nov 2026)
[F11] Annual Report 2026, including holder tables (29 Sep 2026)
[F12] Extension of Syndicated Facility (23 Jun 2026)
[F13] Sale of final five Autoleague properties (28 May 2026)
[F14] Co-living JV: settlement of Moranbah (9 Oct 2025)
[F15] Annual Results Announcement (24 Aug 2026)
[F16] Appendix 4E 2023
[F17] Appendix 4E 2022
[F18] Appendix 4E 2021
[F19] Appendix 4E 2020
[F20] Appendix 4E 2019
[F21] Appendix 4E 2018
[F22] Appendix 4E 2017
[F23] On-market buyback announcement (24 Aug 2026)
[F24] Distribution notice, 9 Dec 2022
[F25] Annual Results Presentation 2024 (GDI's own AFFO table)
[F26] Sale of Wood Street, Bassendean (19 Dec 2025)

**Holder and director notices (ASX)**

[H1] Rockefeller 603, 1 Apr 2026
[H2] 604, 13 May
[H3] 604, 17 Jun
[H4] 604, 14 Aug
[H5] 604, 25 Aug
[H6] 604, 14 Sep
[H7] Renaissance 604, 4 Sep 2026
[H8] Paradice 604, 24 Apr 2025
[H9] Paradice 603, 24 Sep 2024
[H10] Salt and Pathfinder 604, 4 Mar 2026
[H11] MA Financial 605, 3 Feb 2026
[D1] Burns sale, 3 Jun 2026
[D2] Warburton purchase, 26 Aug 2026
[D3] Burns rights vesting, 8 Sep 2026
[D4] Burns rights issue, 6 Nov 2026

**Peers (ASX releases)**

[P1] Centuria Office REIT FY26 results
[P2] Abacus Group FY26 results
[P6] Centuria Office FY23
[P7] Centuria Office FY24
[P8] Growthpoint FY23
[P8] Growthpoint FY24
[P8] Dexus FY23
[P8] Dexus FY24
[P3] Growthpoint FY26 results
[P4] Dexus 2026 results release
[P5] Abacus pro forma NTA after Storage King sale (press, pointer only)

**Market research, rates and other**

[M1] Knight Frank, Perth CBD Office Market, March 2026
[M2] Knight Frank, Perth CBD Office State of the Market, Q2 2026
[M3] Knight Frank, State of the Market, Q1 2026
[M4] JLL, Q3 2026 office markets release
[M5] Cushman & Wakefield Q3 2026 MarketBeat as reported (press)
[M6] 256 St Georges Terrace sale campaign (agent release)

[M7] RWC WA listings showing 256 St Georges Terrace under offer
[M8] Knight Frank Perth forecasts, October 2026 (press)
[M9] Yahoo Finance daily prices and volumes (GDI, peers, A-REIT index)
[M10] RBA decision, 3 November 2026
[M11] ASX bank bill rates and YieldReport bond and swap rates
[M12] Elanor Commercial Property Fund target's statement presentation, Sept 2025
[M13] Lederer bid for Elanor Commercial Property Fund (press)
[M14] Charter Hall bid for Hotel Property Investments (press)
[M15] Starwood bid for Australian Unity Office Fund, 2019 (press)
[M16] Australian Unity Office Fund merger fails (press)
[M17] Rockefeller sells ANZ Centre, Hobart (press)
[M18] Rockefeller profile and A$145m centre sale (press)
[M19] Charter Hall's 50% of Paradice (Wikipedia, pointer only)
[M20] Warburton and the APN Outdoor sale (press)
[M21] Warburton at Seven West Media (press)
[M22] Seven West debt and Prime under Warburton (press)
[M23] Seven West share price at his exit (press)
[M24] Takeovers Panel summary of takeover provisions
[M25] Corporations Act 2001, section 611

Broker notes were not used. Press items are pointers to facts I could not get from a primary document and are marked as such.